

BILL CONSOLIDATION LOAN

A family that piles up debts from many areas—such as credit cards, bank loans, and finance company loans—is faced with a choice: to stop the flow of credit and reduce spending to pay off the debts, or look for new sources of money.

One of these sources is called a bill consolidation loan. The purpose is to combine several small debts into one large loan so that the payments can be spread over a longer period of time, thus reducing the monthly outgo. Most finance companies encourage such loans, especially when one of *their* existing loans will be refinanced. Why? Because the amount refinanced includes not only principal but some of the interest as well, so they actually earn interest on the interest.

The logic behind this kind of symptom treatment sounds reasonable. It does reduce the monthly payments in most cases. Where many of the debts are on credit cards, it may actually reduce the interest paid. But bill consolidation treats a symptom, not the problem. The symptom here is a lack of money on a month-by-month basis. The problem is overspending. Unless the overspending is stopped first, the symptom of debt will return in a few months, resulting in even worse problems. The family will be trapped with all the small debts back again as well as the consolidation loan.

One “advantage” of bill consolidation loans is to provide “extra” cash. In other words, the finance company will consolidate the bills and also extend the loan to give some surplus money. Unfortunately, this only amplifies the original problem.

Often a family will use the surplus as a down payment on a large purchase (thereby incurring more debt) or put it aside as a buffer to use on monthly overspending. By the time the surplus is gone, they have adjusted spending to a higher level and are then dependent on it. Rather than adjust the spending down, they substitute credit-card spending.

A couple I'll call Don and Ann would have been classified as a typical young couple when they got married. They both came from middle-income Christian parents who loved them and indulged them, as most parents do today. As children, they both